FILED
AUG 03 2026
FRESNO COUNTY CLERK
By. DEPUTY

SIERRA KINGS HEALTH CARE DISTRICT

RESOLUTION NO. 328

RESOLUTION OF THE BOARD OF DIRECTORS OF THE SIERRA KINGS HEALTH CARE DISTRICT CALLING AN ELECTION TO PLACE A MEASURE REQUESTING THE RESIDENTS OF THE DISTRICT TO APPROVE THE NEW LEASE WITH AN OPTION TO PURCHASE THE LEASED PROPERTY ON THE NOVEMBER 3, 2026 BALLOT, REQUESTING CONSOLIDATION OF THIS ELECTION WITH THE ESTABLISHED ELECTION TO BE HELD ON NOVEMBER 3, 2026, REQUESTING THE SERVICES OF THE FRESNO COUNTY REGISTRAR OF VOTERS, AND PROVIDING THAT A COPY OF THE MEASURE WILL BE TRANSMITTED TO THE FRESNO COUNTY COUNSEL FOR PREPARATION OF AN IMPARTIAL ANALYSIS

WHEREAS, the Sierra Kings Health Care District (the "District") duly exists under the provisions of Division 23 of the Health and Safety Code of the State of California (the "Code"); and

WHEREAS, the District owns the land and improvements upon which the hospital known as Reedley Community Hospital (the "Hospital") is located and operates, and used to own and operate the Hospital; and

WHEREAS, the District transferred the health care operations of the Hospital to, and entered into a 15 year lease with an automatic 3 year renewal term and purchase option with, Reedley Community Hospital ("RCH"), an affiliate of Adventist Health System, pursuant to a lease dated October 11, 2011 (the "Original Lease") after such transfer was approved by the voters of the District in the November 3, 2011 election; and

WHEREAS, the District desires to maintain the operations of the Hospital for the District's residents beyond the expiration date of the Original Lease by entering into a new lease with RCH which will replace the Original Lease; and

WHEREAS, at a duly noticed public meeting held on July 27, 2026, the District Board of Directors approved, subject to obtaining a fair market value appraisal of the New Lease and to voter approval as required by California Health & Safety Code Section 32121(p)(1), the District's entering into a Memorandum of Understanding pursuant to which the District and RCH will continue good faith negotiations to execute the New Lease providing for the continued lease of the premises as described in the Original Lease plus an adjacent parcel of real property owned by the District, with a 20 year initial term and two 5 year renewal terms, a purchase option and right of first refusal, and the continued operation and maintenance of the Hospital as a full time general acute care hospital with 24/7 walk in basic emergency care during the term of the New Lease (the "Proposed Transaction"), which New Lease will replace the Original Lease and will be effective the first day of the first calendar month following the date on which the New Lease is approved by the voters of the Sierra Kings Health Care District; and

WHEREAS, the New Lease will involve over fifty percent (50%) of the District's assets; and

WHEREAS, Section 32121(p)(1) of the Code provides in part that the transfer of more than fifty percent (50%) of a district's assets requires that a measure be placed on a ballot and is subject to voter approval; and

WHEREAS, the District Board of Directors desires to call for a measure approving the New Lease to be placed on the ballot of the election to be held within the boundaries of the District on November 3, 2026; and

WHEREAS, the Board of Directors of the District must approve a form of the proposed ballot measure that will be placed on the ballot to approve the Proposed Transaction; and

WHEREAS, the District must obtain from a majority of the voters voting on the ballot measure their approval to the New Lease; and

WHEREAS, the District's Board of Directors is composed of five elected members of which there are currently two vacancies leaving only three sitting Board members;

NOW, THEREFORE, IT IS RESOLVED, DETERMINED AND ORDERED BY THE BOARD OF DIRECTORS OF THE SIERRA KINGS HEALTH CARE DISTRICT AS FOLLOWS:

1. The Board of Directors has approved the Memorandum of Understanding dated July 27, 2026 providing for the New Lease, contingent upon voter approval of the ballot measure on November 3, 2026, and hereby calls for a regular election of the voters of the District to be held on November 3, 2026, for the purpose of submitting a ballot measure to the District voters the question whether the New Lease should be approved. The Board of Supervisors of Fresno County is hereby requested to order consolidation of this measure with such other elections called November 3, 2026, in the same territory, which consolidated election will be held and conducted in the manner prescribed in Election Code Section 10418.

2. The question to be submitted to the voters with respect to the ballot measure shall be printed on the election ballot in the form set forth as follows:

   Shall the measure to assure continued operation of Sierra Kings Health Care District's hospital facility at 372 West Cypress Avenue, Reedley, California, as an acute care hospital, in accordance with District Board Resolution No. 328 adopted July 27, 2026, by having the District enter with Reedley Community Hospital, the existing operator, a twenty year lease with options to extend the lease and purchase the property, with no new taxes, bonds, or assessments on District residents, be adopted?

Yes _____

No _____

The Chief Executive Officer of the District or her designee is hereby authorized and directed to make any changes to the text of the measure or its abbreviation as required to conform to any requirements of law, the California Elections Code, or the Fresno County Clerk/Registrar of Voters.

3. The Board of Directors of the District hereby requests the Fresno County Clerk/Registrar of Voters to conduct the election and canvass the returns, and the District consents to reimburse the Registrar of Voters for all costs incurred by said services.

4. In all particulars not recited in this resolution, the election shall be held and conducted as provided by law for holding district elections.

5. Arguments in favor or against the proposed measure are permissible and shall be filed with the Fresno County Clerk/Registrar of Voters in accordance with Elections Code Section 9282. Board members voting in the majority for this resolution are authorized, but not required, to file arguments in favor of the proposed measure. The Board of Directors of the District request that the ballot measure be designated "H" or "C", and Board members are authorized to provide input to the Fresno County Clerk/Registrar of Voters in determining a letter designation for this measure.

6. Passage of this measure requires 50% plus 1 votes.

7. The Fresno County Clerk/Registrar of Voters shall give the appropriate notices for the election and shall conduct the election pursuant to appropriate provisions of state law.

8. The Fresno County Counsel shall prepare an impartial analysis of the measure in accordance with Elections Code Section 9313 and file it with the Fresno County Clerk/Registrar of Voters.

9. The Vice Chair of the Board or his designee(s) is/are hereby authorized to execute any other document and to perform all acts necessary to place the measure on the ballot and to comply with all requirements of law and election officials.

10. The District Secretary shall file a certified copy of this Resolution with the Clerk of the Board for the Fresno County Board of Supervisors and the Fresno County Clerk/Registrar of Voters upon its adoption by the Board of Directors of the District.

11. The District Chief Executive Officer is hereby authorized and directed to perform such additional acts as necessary to effect and secure the purpose of this resolution,

including making minor and non-substantive revisions to the New Lease prior to execution, as appropriate.

THE FOREGOING RESOLUTION was introduced by Director Lydia Martinez who moved its adoption, seconded by Director Kathy Omachi and then adopted on roll call by the following vote:

AYES: 3
NOES: 0
ABSENT: 0
ABSTAIN: 0

DIRECTOR BRUCE HUNTER

DIRECTOR LYDIA R. MARTINEZ

DIRECTOR KATHY OMACHI

WHEREUPON, the Chairperson declared the foregoing resolution adopted and SO ORDERED.

I, Lydia Martinez, Secretary of the Sierra Kings Health Care District, certify that the foregoing is a true copy of Resolution No. 328, adopted by the Board of Directors of the Sierra Kings Health Care District at a special meeting of the Board of Directors held on the 27th day of July, 2026, which Resolution is a part of the official records of the Sierra Kings Health Care District.

Dated: July 27, 2026

Lydia R. Martinez, District Secretary